



February 13, 2026

Speaker Laurie Jenkins and Majority Leader Joe Fitzgibbon
Washington House of Representatives
PO Box 40600
Olympia, WA 98504

Speaker Jenkins and Leader Fitzgibbon:

On behalf of our stakeholders and the undersigned organizations, we write to express our strong opposition to HB 2038, which adds a B&O surtax to the gross receipts of companies operating social media platforms in Washington.

Funding youth behavioral health programs is a noble endeavor and something all reasonable Americans support. However, passing this tax as a means to fund these types of programs will not achieve this goal. Instead it will only invite legal challenges and very likely prevent vulnerable Washington children from accessing services.

As you know, Washington is already facing a lawsuit over the 2025 advertising services tax based on the grounds that it violates the Internet Tax Freedom Act ("ITFA"). ITFA prohibits states from imposing "discriminatory taxes on electronic commerce" – which is exactly what HB 2038 does. Additionally, HB 2038 could violate free-speech protections under the First Amendment.

Should these taxes be overturned by the courts, then Washington would be forced to pay back every cent collected, plus interest. Not only will drawn out litigation costs fall on taxpayers, but this will also leave a budget gap for these behavioral health programs.

Access to social media, and access to the customers on these platforms, has leveled the playing field for small businesses. Businesses of all sizes now have an equal opportunity to reach the same customers, giving start-ups, local newspapers, and countless entrepreneurs the opportunity to grow and succeed. HB 2038 taxes one of the most important lifelines for Washington's small businesses, which will result in higher costs to reach new customers and higher prices for existing customers.

Proponents of HB 2038 will argue that this tax will only affect a handful of multi-billion-dollar companies, but the truth hits much closer to home. Like all business-to-business expenses, Washington consumers and small businesses will be disproportionately burdened by this tax.

Washingtonians, like all Americans, are still navigating significant economic pressures, including the lingering effects of runaway inflation that began years ago. This, coupled with new tariffs and a slowing economy, creates even more economic uncertainty for businesses and workers. Additional taxes would only compound these challenges, driving people and investments out of the state.

This legislative session provides you and your colleagues with an opportunity to deliver results for Washington. Legislative discussions should center around ways to harness the state's opportunity to build a more competitive business environment which would encourage innovation and grow the overall tax base.

We hope that you will see that this social media tax, especially combined with the expansion of state taxes to include advertising services, would have far-reaching, negative consequences for businesses, consumers, and Washington's economy. Should this tax be overturned by the courts, the budget gaps for behavioral health programs would become even wider. For these reasons, we urge you to oppose HB 2038.

Sincerely,

Association of National Advertisers
American Association of Advertising Agencies
American Advertising Federation Nebraska
Americans for Digital Opportunity
A&K Marketing
CCIA
Coalition for Healthcare Communication
Council On State Taxation
CTIA
IAB

Internet Coalition
National Taxpayers Union
NetChoice
Taxpayers Protection Alliance
TechNet
Washington Technology Industry Association

CC: The Honorable April Berg, Chair, House Finance Committee